This methodology document stands superseded and is subsumed under the Corporate Credit Rating Methodology that is available on ICRA's website www.icra.in.

RATING METHODOLOGY **April 2021**

Rating Methodology for Entities in the Information Technology Hardware-related Services Industry

This rating methodology updates and supersedes ICRA's earlier methodology document on this subject, published in February 2019. While this revised version incorporates a few modifications, ICRA's overall approach to rating entities in the Information Technology (IT) Hardware-related Services industry remains materially similar.

Overview

This rating methodology provides a reference tool for investors, entities and other market participants to understand ICRA's approach to assessing the business and financial risk profiles of entities in the Indian IT hardware-related services industry and how the various quantitative and qualitative risk characteristics could affect rating outcomes. This methodology does not include an exhaustive treatment of all factors that are reflected in ratings but enables the reader to understand the rating considerations that are usually considered the most important.

The IT hardware industry includes products like desktops, laptops, printers, fax machines, network equipment, storage devices, servers and computer peripherals, among others. Leading multi-national corporations (original equipment manufacturers or OEMs) who manufacture or assemble IT hardware include Acer, Dell, Hewlett-Packard (HP), IBM and Lenovo. This methodology document outlines how ICRA carries out a credit assessment of entities involved in importing, assembling and system integration of IT hardware produced by the OEMs. This document designates these services as IT hardware-related services. For analytical convenience, the key rating factors are grouped under the following broad heads, besides certain other considerations:

Industry Risk Assessment

- Competitive Intensity

Business Risk Assessment

- Scale and Market Position
- Scope and Diversity of Service Offerings
- Customer Profile
- Sales & Service Network

Financial Risk Assessment

- Profitability
- Foreign Currency Related Risk
- Working Capital Intensity
- Leverage and Coverage Indicators
- Cash flows & Liquidity
- Tenure Mismatches and Risk Relating to Interest Rates and Refinancing
- Accounting Quality

Other Elements of Credit Risk Assessment

- Parentage/ Group Support
- Financial Flexibility
- Debt Servicing Track Record
- Contingent Liabilities and Off-balance Sheet Exposures
- Event Risk

Management Quality & Corporate Governance Assessment

Industry Risk Assessment

Competitive Intensity

The Indian IT hardware-related services industry is highly fragmented with multiple small and mid-sized players operating in it. The entry barriers are low as most players trade in hardware, bundling the equipment with installation, after-sales service support, providing licences or other services such as networking, system integration or infrastructure management services. With intense competition, the industry has been facing challenging times over the past several years, characterised by low profitability and elongated working capital cycles, especially for Government and Public Sector Undertaking (PSU) customers. This has led to the scaling down or exit of several companies from the hardware-related services sector. The competitively intense nature of the industry is factored-in by ICRA while evaluating the credit profiles of entities that operate in this industry.

Business Risk Assessment

Scale and Market Position

For domestic IT hardware entities, the ability to sustain market position depends on their ability to attract orders from mid and large-sized customers with an array of value-added services, including end-to-end solutions, as well as a pan India footprint. The scale of an entity's operations (as measured through operating income) in the IT hardware industry directly impacts its sourcing terms and its ability to sustain pricing pressures, loss of customers and economic down cycles. The industry is susceptible to domestic economic cycles as higher investments from corporates and the Government lead to higher spends on IT hardware and related services. Overall, amid a fragmented industry structure with low entry barriers, it becomes imperative for an entity to achieve scale for absorbing overheads, navigating through economic cycles and generating adequate profits. Further, a track record of execution and client satisfaction remain critical to generate repeat business and referrals.

Scope and Diversity of Service Offerings

The IT hardware industry encompasses a range of products, including computers, laptops, printers, networking systems, servers, cloud-based hardware solutions, video conferencing equipment, CCTVs, servers and scanners, for a wide range of requirements from office automation to security and surveillance, among others. The hardware offerings, which are mostly traded/ assembled, generally have to be complemented with on-ground service support for operations and maintenance (O&M). Further, most orders are also accompanied by maintenance contracts that may extend beyond the warranty period offered by OEMs. These service contracts are generally annuity deals, which cover maintenance and upkeep of the hardware and the accompanying software during their tenure, in addition to the replacement of faulty parts. This requires a sound know-how in the areas of installation, networking, video-conferencing etc, with the company's ability to service the equipment in a timely manner being critical. Entities who offer a wide array of hardware as well as bundled offerings such as installation, after-sales service, annual maintenance contracts (AMCs) and facility management (FM) services have better leverage with customers, compared to pure IT hardware suppliers. ICRA also evaluates the revenues from high margin annuity contracts such as FM services, the AMCs and their proportion to the overall revenues and profits.

Customer Profile

The Indian IT hardware industry primarily services various private sector entities, public sector entities, Central and state governments. The industry also meets the system requirements of specific Government-sponsored schemes. High concentration towards entities that operate in the Government/ PSU sector generally comes with the challenge of a longer working capital cycle or fund blockages in the form of retention money.

ICRA evaluates the profile of the top customers for their overall credit quality (either through credit ratings, track record of defaults or group linkages, etc). A marquee customer base is a reflection of the quality of the company's offerings and supports timely payments. While the hardware business is generally project-based, repeat business from old customers is viewed favourably. Further, the project-like nature of the business may lead to high client concentration in particular years. A sustained high client concentration over a series of years could be a potential risk factor for future revenue sustenance.

Sales and Service Network

Larger contracts are generally multi-location-oriented, necessitating a pan-India presence of the rated entity through offices and service centres in key locations across various states. A lack of multi-location presence could pose as an entry barrier for entities as they might find it difficult to bid for contracts requiring an expansive geographical presence. A large service network enables an entity to operate in multiple regions within India, enabling higher geographical diversification as well as enhanced prospects of securing bigger orders.

Financial Risk Assessment

While assessing the financial risk profile of entities involved in IT Hardware-related services ICRA evaluates its profitability and cash-generating ability, balance sheet strength and the sources of financial flexibility, all in relation to various committed and contingent obligations. ICRA analyses past financial performance trends and estimates the future financial performance to assess the financial risk exposure of an entity. The financial metrics provide a useful reference not only to evaluate the performance trends of an entity over a given time horizon, but also enable a comparison with its peers. This document provides a summary of some critical ratios that ICRA considers important in its assessment. For a more detailed description, readers may refer to the note titled Approach for Financial Ratio Analysis published on ICRA's website. Some of the key metrics analysed are discussed below.

Profitability

An entity with higher operating margins and return on capital has a greater ability to generate internal accruals, attract external capital, and withstand business adversity. The Indian IT hardware industry operates on thin margins because of the low entry barriers owing to the trading nature of hardware sales. The upside, however, comes from bundled service offerings, including installation, AMCs and after-sales services. Also, effectively managing overheads and employee costs remain critical to generate adequate profits. The trends in operating margin and return on capital employed are analysed by ICRA to establish the stability of cash flow generation.

Working Capital Intensity

Indian IT hardware-related services players generally face moderate to high working capital intensity with most working capital requirements arising from receivables and inventory. ICRA evaluates the ageing schedule of inventory and receivables to assess an entity's ability to realise its assets as well as evaluate the possibility of bad debts in the future. Since Indian players are predominantly not involved in manufacturing, the hardware inventory requirements primarily stem from contracts to be executed or general hardware for maintenance contracts. ICRA compares the working capital ratios of the IT hardware-related services players with their peers and any significant deviation in the ratios like debtor days and inventory days could indicate disputes with customers regarding certification/ approval of work/ recognition of work, obsolete inventory, and/ or release of payments. Also evaluated is the exposure to various Government bodies where the risk of elongated payment cycle as well as blockage of retention money is high. ICRA monitors the trend in 'unbilled revenues'[1] as well, as a percentage of revenues over the past few years and its conversion into cash. Entities that execute for stronger counter parties, have a sound project-monitoring system and adhere to quality and time stipulations, are generally able to secure faster release of payments.

In various instances, the rated entities restrict their service to installation of hardware and the customers procure the required hardware directly from the OEMs. This reduces working capital requirements and potential payment disputes regarding hardware specifications and timelines.

Leverage and Coverage indicators

ICRA's assessment of the financial risk profile of an entity is based upon its ability to generate healthy cash flows to reinvest in the business as well as meet debt-servicing obligations. Financial policies—past as well as future—are key rating factors that help assess the risk appetite of the management and the impact of the same on the financial performance of the company.

1 Unbilled revenues refer to the portion of work completed by the company at the year-end and are to be billed after reaching an agreed milestone.

Leverage ratios are an indicator of the degree of financial flexibility a company enjoys in terms of its ability to raise funds from alternative sources in times of financial distress or for meeting funding requirements in general and is a credit positive. Such flexibility is reflected in a company's TOL/TNW and Total Debt-to-EBIDTA multiples. It is also a measure of a company's dependence on borrowed funds and thereby the extent of the burden of fixed costs on a company, which increases default risk.

The interest coverage indicator reflects the ability of an entity to fund the cost of its external borrowings after meeting all operating expenditure requirements. It is an important rating consideration as a weak EBITDA-to-interest multiple indicates that the entity is not generating adequate profits to meet its interest costs and may signal a default risk. A strong debt service coverage ratio indicates a cushion in servicing debt obligations while continuing to invest in new lines of business, incurring capital expenditure (capex) and entering into new markets.

Cash Flows and Liquidity Profile

The rating exercise is primarily focused on assessing the future debt-servicing capability of a company. Since it is cash that is required to service the debt obligations, it is imperative that a cash flow analysis is undertaken to evaluate the external funding requirements and likely financial position of the company, going forward. A cash flow statement represents the sources from which cash is generated, as well as its deployment. Analysed here are the trends in an entity's funds flow from operations, cash consumed to fund the working capital, the retained cash flows after paying out dividends or carrying out share buybacks, and the free cash flows after meeting debt repayment obligations and capital expenditure needs.

ICRA also evaluates the liquidity profile of the company to assess its ability to meet short-term financing requirements. The existence of adequate buffers of liquid assets and bank lines are viewed as a credit positive, and the same is evaluated alongside the drawing power available with the company, to assess its ability to meet temporary shortfalls in funding requirements. While evaluating the liquidity profile of a company, ICRA takes into consideration the monthly working capital utilisation (with unutilised sanctioned limits imparting greater protection during periods of liquidity strain), the unencumbered cash balances and liquid investments available to the company and its internal cash generation capability. ICRA evaluates the free cash flows of the company and its variability to determine the company's ability to meet cash obligations like debt repayments and investments from its own internal cash flows. Additionally, any fluctuations in the working capital cycle, especially during peak requirements, and the availability of back-up lines to finance seasonal requirements are also monitored.

Tenure Mismatches and Risks Relating to Interest Rates and Refinancing

Tenure mismatches, like funding of long-term investments through short-term borrowings, expose a company to refinancing risks. Such risks are especially significant in periods of tight liquidity. ICRA takes into consideration the adequacy of long-term funds in meeting the long-term funding requirements, measured by the current ratio, with a higher ratio signifying lower mismatch between tenure of assets and borrowings. While evaluating the adequacy of future cash flows, ICRA also takes into account the impact of movement in interest rates on the cash flows of the company, and the extent to which the debt servicing ability would be impacted by the same.

Foreign Currency-Related Risk

The Indian IT hardware sector is primarily import-driven with revenues denominated in local currency, while the hardware import costs are in foreign currencies, exposing them to any adverse movement in rupee vis-à-vis such currencies. ICRA evaluates the net foreign exchange exposure of the entity to be rated and its hedging policy. Companies with a stated hedging policy, with appropriate mechanisms in place to enter into back-to-back contracts once orders are awarded, are viewed favourably. Companies hedging their foreign currency debt and related interest outgo or enjoying natural hedge are also viewed positively. ICRA's analytical focus is on assessing a company's hedging policy and the magnitude of the unhedged exposure relative to the entity's profits.

Accounting Quality

The company's accounting policies, notes to accounts, and auditors' comments that are part of the annual report of the issuer are all reviewed. Any deviation from the Generally Accepted Accounting Practices (GAAP) is noted and the financial statements of the issuer adjusted to reflect the impact of such deviations. The management approach towards accounting policies such as classification of revenue and capital expenditure, depreciation policy (useful life of assets), and amortisation of goodwill are also evaluated.

Other Elements of Credit Risk Assessment

Parentage/ Group Support

While the credit rating of an entity is a function of its standalone credit profile, in certain cases, the entity's credit quality can also be driven by the relationship with its parent or the promoter group (henceforth referred to as the parent). If the parent's credit profile is relatively stronger than the rated entity, ICRA assesses the ability and the likelihood of the parent extending extraordinary support to the entity. Support here refers to financial support from the parent expected to be available to the entity in the form of loans, equity, extended credit period and advances in times of credit or liquidity stress on the entity. Support here does not mean operational support in the form of new business opportunities, technology sharing, distribution network sharing and so on, as these aspects are factored in the standalone credit profile assessment. If the parent's credit profile is relatively weaker than the rated entity, the entity's rating may be lower than what its standalone credit profile assessment would have merited, given the possibility that the entity may at some point of time be bound to extend financial support to its weaker parent, possibly to the detriment of its own credit profile[2].

Financial Flexibility

An entity's financial flexibility (or the lack thereof) is reflected in its ability to access capital or money markets at short notice and enjoy the confidence of banks, financial institutions, and intermediaries. A strong financial flexibility allows an entity to raise fresh borrowings or refinance existing ones in quick time, whenever required. Financial flexibility could emanate from factors such as an entity's large scale of operations with strong financials, large, unencumbered cash flows, unencumbered assets and the flexibility to borrow against such assets, or strong parentage or linkages with a strong group.

In contrast, among the various measures of an entity's depleting financial flexibility, one relates to a high share of pledged promoter shareholding. A sign such as this may imply that the entity might be persuaded to distribute high dividends or support the promoter group through other means to the detriment of its own credit profile. If the promoters fail to repay their loans (availed by pledging of shares) or top up collateral when required, the lenders could sell the pledged shares. In some cases, this could trigger a change-of-control clause in the rated entity's bond indentures or loan documents and require it to redeem its debt ahead of schedule, creating a liquidity squeeze, besides affecting fresh capital raising ability.

Debt-Servicing Track Record

Any history of past delays or defaults in meeting interest and principal repayment obligations reduces the comfort level with respect to the company's future debt-servicing capability and willingness. Nevertheless, the reason behind past defaults is also analysed, which could also be due to adverse demand situations in the underlying industry. The company's ability to honour its debt obligations during the period of cyclical stress is also factored in.

Contingent Liabilities and Off-balance Sheet Exposures

ICRA reviews the contingent liabilities and off-balance sheet exposures as disclosed by the entity in its Annual Report and evaluates the likelihood of their devolvement and the financial implications of the same.

Event Risk

ICRA recognises the possibility of events, such as unrelated diversification, mergers and acquisitions, business restructuring, asset sales and spin offs, capital restructuring; and litigations, which could have a material impact on the credit profile of a company. Incorporating the impact of such discrete events in the credit rating, from the beginning, is often difficult. Depending on whether and when such events occur, the rating opinion could be substantially different. To take rating decisions in such

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[2] For more details on this, readers may refer to the document titled, "Impact of Parent or Group Support on an entity's Credit rating", available on ICRA's website

cases, ICRA applies its analytical judgment based on the rated entity's track record, the credibility of the management and the experience of having seen similar situations play out in other entities. However, given the nature of such events, it is possible that the rating may undergo a material change later, upon the occurrence of the event.

Management Quality & Corporate Governance Assessment

In addition to the business and financial risk analysis, all debt ratings incorporate an assessment of the quality of the entity's management, its financial policies and governance practices. An experienced management and independent directors on its board are considered positive factors. An entity should practice sound corporate governance policies to serve the interest of all stakeholders.

In addition, the likely cash flow impact on the rated entity, from the possible need to support other group entities are of importance, in case the rated entity is among the stronger entities within the group. Usually, a detailed discussion is held with the management of the rated entity to understand its business objectives, plans and strategies, and views on past performance, besides the outlook on the rated entity's industry.

Some of the points assessed are:

- Experience of the promoter/ management in the industry
- Commitment of the promoter/ management to the concerned line of business
- Risk appetite of the promoter/ management and risk mitigation plans
- The rated entity's plans regarding new projects, acquisitions, and investment in non-core business segments
- The rated entity's policies on leveraging, interest risk and currency risks

Periodic interactions with the management also help to estimate the possibility of the management's tendency to deviate from its core philosophy in times of stress.

Summing Up

ICRA's credit ratings are a symbolic representation of its opinion on the relative credit risk associated with the instrument being rated. This opinion is arrived at following a detailed evaluation of the entity's business and financial risks, its competitive strengths, its likely cash flows over the near-to-medium-term and the adequacy of such cash flows vis-à-vis its debt servicing obligations and other funding requirements. ICRA's approach to rating entities in the Information Technology Hardware-related Service Industry also incorporates the evaluation of various business risk parameters such as the company's market share, product portfolio, service network and the management strategy for maintaining financial performance through the cycle and its overall approach towards investment and growth.

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About ICRA Limited:

ICRA Limited was set up in 1991 by leading financial/investment institutions, commercial banks and financial services companies as an independent and professional investment Information and Credit Rating Agency.

Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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